

26SMCV01450 26SMCV01450

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Case Number: 26SMCV01450 Hearing Date: June 26, 2026 Dept: N

TENTATIVE ORDER

Defendant Michael Payne's Petition to Compel Arbitration and Stay Proceedings is GRANTED. The proceedings are hereby STAYED pending the outcome of arbitration.

Defendant Michael Payne's Request for Attorney's Fees and Costs is DENIED.

"The right to arbitration depends upon contract; a petition to compel arbitration is simply a suit in equity seeking specific performance of that contract." (Eng'rs & Architects Ass'n v. Cmty. Dev. Dep't (1994) 30 Cal.App.4th 644, 653.) General principles of contract law determine whether the parties have entered a binding agreement to arbitrate. (Chan v. Drexel Burnham Lambert, Inc. (1986) 178 Cal.App.3d 632, 640-641 ["The existence of a valid agreement to arbitrate involves general contract principles"].)

Alternatively, under Code of Civil Procedure section 638, "[a] referee may be appointed upon the agreement of the parties filed with the clerk, or judge, or entered in the minutes, or upon the motion of a party to a written contract or lease that provides that any controversy arising therefrom shall be heard by a referee if the court finds a reference agreement exists between the parties: [¶] (a) To hear and determine any or all of the issues in an action or proceeding, whether of fact or of law, and to report a statement of decision. [¶] (b) To ascertain a fact necessary to enable the court to determine an action or proceeding."

Judicial reference is described as follows:

In a judicial reference, a pending court action is sent to a referee for hearing, determination and a report back to the court. A general reference directs the referee to try all issues in the action. The hearing is conducted under the rules of evidence applicable to judicial proceedings. In a general reference, the referee prepares a statement of decision that stands as the decision of the court and is reviewable as if the court had rendered it. The primary effect of such a reference is to require trial by a referee and not by a court or jury.

(Treo @ Kettner Homeowners Association v. Superior Court (2008) 166 Cal.App.4th 1055, 1061.)

"A general reference may be had only with the consent of the parties." (Ellsworth v. Ellsworth (1954) 42 Cal.2d 719, 722.) "[T]he court has no power to make an unconsented-to general reference, which conclusively decides all or part of a matter, because not only is such a general reference not authorized except by explicit agreement of the parties, but also, the California Constitution prevents delegation of judicial power except for the performance of 'subordinate judicial duties,'" which

does not include “[d]eciding a major legal issue in a case, which probably will determine liability.” (Aetna Life Insurance Co. v. Superior Court (1986) 182 Cal.App.3d 431, 435-436.)

Because “[a] judicially ordered reference to alternative dispute resolution pursuant to [Code of Civil Procedure] section 638 is a matter of contract between the parties” (Carr Business Enterprises, Inc. v. City of Chowchilla (2008) 166 Cal.App.4th 25, 28), the existence of a reference agreement is subject to the normal canons of contract interpretation. (See Badie v. Bank of America (1998) 67 Cal.App.4th 779, 800-801.) Appointment of a referee is discretionary, not mandatory. (See Code Civ. Proc., § 638 [“referee may be appointed”].) The Superior Court of Los Angeles County, Local Rules, rule 2.24(m), provides that “[a] written agreement for an order directing a reference is subject to the court’s approval, and the court may, in its discretion, refuse to approve the reference.”

On February 6, 2024, Plaintiff entered into a Home Improvement Contract between him and Defendant, stating, in part, as follows:

ARBITRATION OF DISPUTES

NOTICE: BY INITIALIZING IN THE SPACE BELOW YOU ARE AGREEING TO HAVE ANY DISPUTE ARISING OUT OF THE MATTERS INCLUDED IN THE ‘ARBITRATION OF DISPUTES’ PROVISION DECIDED BY NEUTRAL ARBITRATION AS PROVIDED BY CALIFORNIA LAW AND YOU ARE GIVING UP ANY RIGHTS YOU MIGHT POSSESS TO HAVE THE DISPUTE LITIGATED IN A COURT OR JURY TRIAL. BY INITIALIZING IN THE SPACE BELOW YOU ARE GIVING UP YOUR JUDICIAL RIGHTS TO DISCOVERY AND APPEAL, UNLESS THOSE RIGHTS ARE SPECIFICALLY INCLUDED IN THE ‘ARBITRATION OF DISPUTES’ PROVISION. IF YOU REFUSE TO SUBMIT TO ARBITRATION AFTER AGREEING TO THIS PROVISION, YOU MAY BE COMPELLED TO ARBITRATE UNDER THE AUTHORITY OF THE BUSINESS AND PROFESSIONS CODE OR OTHER APPLICABLE LAWS. YOUR AGREEMENT TO THIS ARBITRATION PROVISION IS VOLUNTARY.

(Mot., Payne Decl. ¶ 3, Ex. A, Ex. A, at p. 3, **bolding omitted.**) The agreement is signed by Defendant. (Ibid.) The agreement is **bolded** and appears in capital letters to set it apart. Similarly, page 4 of the agreement states, at paragraph 9:

ARBITRATION OF DISPUTES: All disputes and controversies arising under or in connection with this Agreement where the amount in controversy exceeds Five thousand dollars (\$5,000) shall be determined by arbitration through the Judicial Arbitration & Mediation Service pursuant to the provisions of California Code of Civil Procedure (CCP) §§638-645.1[.] The referee shall decide all issues of fact and law, report his decision thereon, and issue legal and equitable relief appropriate under the circumstances. To the extent the referee is unable to issue and/or enforce any legal or equitable relief, either party may petition the court to issue and/or enforce such relief on the basis of the referee’s decision. The California Evidence Code rules of evidence and procedure relating to the conduct of the hearing, examination of witnesses and presentation of evidence shall apply. Judgment may be entered on the decision of the referee in accordance with CCP §644, and the decision may be excepted to, challenged and appealed according to law.

(Mot., Payne Decl. ¶ 3, Ex. A, Ex. A, at p. 4.)

Plaintiff relies on the second provision’s reference to a “referee” as requiring that this dispute be resolved before a judicial referee. The Court cannot conclude that the parties intended for this to be the case. The reference to a referee lies within a self-described “Arbitration of Disputes” provision, and while the provision cites certain statutes relating to referees rather than arbitrators, it is not clear that Defendant would have understood this provision as requiring resolution before a judicial referee where the provision is described as relating to arbitration. Given that the law states that appointment of a referee is discretionary even where a judicial reference provision exists, the Court cannot conclude that resolution before a referee is warranted where the language is ambiguous and does not clearly place Defendant on notice that it agreed to resolution before a judicial referee. Given that Plaintiff provides no argument that the arbitration provision is not valid, and Defendant has provided evidence of a valid arbitration agreement, Defendant Michael Payne’s Petition to Compel Arbitration and Stay Proceedings is GRANTED. The proceedings are hereby STAYED pending the outcome of arbitration.

Defendant asks the Court to award him attorney's fees and costs pursuant to Code of Civil Procedure section 1293.2, which states that "[t]he court shall award costs upon any judicial proceeding under this title as provided in Chapter 6 (commencing with Section 1021) of Title 14 of Part 2 of this code." This is a motion to compel arbitration within another action, not a petition to compel arbitration filed as its own judicial proceeding, such that the Court cannot conclude that attorney fees and costs are proper at this juncture. Accordingly, Defendant Michael Payne's Request for Attorney's Fees and Costs is DENIED.